JUDGMENT SHEET.

IN THE ISLAMABAD HIGH COURT, ISLAMABAD.
JUDICIAL DEPARTMENT.

S.T.R. No. 17 of 2012

M/s Nayatel (Private) Limited

Versus

Commissioner Inland Revenue and others

Applicant by	:	Hafiz Muhammad Idris and Syed Farid Ahmed Bukhari, Advocates.
Respondents by	:	Barrister Atif Rahim Burki. Mr. Khalid Sultan, Additional Commissioner, LTO, Islamabad.
Date of Decision	:	6-11-2024.

SAMAN RAFAT IMTIAZ, J.

1. This is a Reference Application filed under Section 47 of the Sales Tax Act, 1990 ("**Sales Tax Act**") read with Section 34 of the Federal Excise Act, 2005 ("**Federal Excise Act**") against the Order dated 15-6-2012 ("**Impugned Order**") passed by the learned Appellate Tribunal Inland Revenue, Islamabad **("Appellate Tribunal")** whereby the appeal filed by the Applicant has been dismissed.

2. The brief facts of the case as per the Application are that the Applicant is a Private Limited Company engaged in providing Telephone, Internet and Cable Television Services. The Applicant received audit observation dated 31-12-2010 from the Assistant Commissioner Inland Revenue ("**ACIR**"). After receipt of the above audit observation, a Show Cause Notice No. ST-Audit-V-2010-NT/143 dated 26-1-2011 was received relating to tax period 1-7-2008 to 30-6-2009. The Reply was filed on 1-2-2011 by the Applicant. The ACIR found the reply unsatisfactory and as such passed Order-in-Original dated 4-6-2011 against the Applicant. Being aggrieved of the Order-in-Original the

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Applicant filed an appeal before the Commissioner Inland Revenue (Appeals) ("**CIR (A)**") who vide Order-in-Appeal dated 19-12-2011 rejected the appeal of the Applicant. Being aggrieved of the Order-in-Appeal, the Applicant preferred appeal before the learned Appellate Tribunal which was dismissed, hence, the instant reference.

3. The following questions of law have been framed by this Court vide Order dated 25-1-2016:

> *1. Whether under the facts and circumstances of the case the Order-in-Original can be passed under Sales Tax Act because the charge is under Section 3 of the Federal Excise Act and not under Section 3 of Sales Tax Act?*
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> *2. Whether under the facts and circumstance of the case 'taxable supplies' means supply of services as provided under Section 2(41) of the Sales Tax Act and Sales Tax Rules 25(3) read with Section 8(2) of the Sales Tax Act?*
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> *3. Whether under the facts and circumstances of the case Section 7 of the Federal Excise Act only allows restrictive application of provisions of Sales Tax Act and beyond that any act of ACIR has no legal consequence and the learned Appellate Tribunal was justified to confirm the order of ACIR and CIR(A)?*
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> *4. Whether under the facts and circumstances of the case the Sales Tax Rule 25(3) allow the apportionment in case of services whereas the said rule only deals with 'goods' so application of same is totally illegal and without jurisdiction, accordingly all the orders under questions are not maintainable in the eye of law?*
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> *5. Whether under the facts and circumstances of the case the learned Appellate Tribunal was justified in not given any finding on the issue of input tax adjustment under Section 8(1)(ca) of Sales Tax Act?*

4. After arguing at some length, the learned counsel for the Applicant decided not to press Questions No. 1 to 3. In respect of Questions No. 4 and 5 the learned counsel for the Applicant at first argued that internet services are exempted and relied upon an unreported order of the Honourable Supreme Court passed in Civil Petition Nos. 3317 and 3318 of 2018 titled as *Commissioner Inland Revenue (Legal), Islamabad Vs. M/s Wi-Tribe Pakistan Ltd. Islamabad* in support thereof. However,

when confronted with the statement of facts submitted by the Applicant in the instant reference, the learned counsel for the Applicant conceded that the Applicant not only provides internet services but also cable TV, and Telephone services. It is also admitted that cable TV and Telephone services are not exempted. Thus, the learned counsel for the Applicant was directed to show how the finding of the Appellate Tribunal that the Applicant cannot claim total input tax for both dutiable and exempt services rather such input tax would have to be apportioned in accordance with Rules 24 and 25 of the Sales Tax Rules, 2006 ("**Sales Tax Rules**") is incorrect. The learned counsel for the Applicant submitted that such finding is incorrect because the input tax claimed by the Applicant is only in respect of telecommunication services which are not exempt and as such he claims that his case would be covered under Rule 25 (i) of the Sales Tax Rules.

5. On the other hand the learned counsel for the Department accompanied with the Additional Commissioner submitted that all three services are provided by the Applicant through a single optical fiber as such it is not ascertainable as to which type of service can be adjusted against the claimed input tax hence the apportionment under Rule 25(iii) of the Sales Tax Rules.

6. Arguments advanced by the learned counsel for the parties have been heard and documents placed on the record examined with their assistance.

7. Despite multiple opportunities the learned counsel for the Applicant was unable to show from the record that the input tax sought to be adjusted by the Applicant only against telecommunication services was not paid in respect of exempt supplies as well. The learned counsel for the Applicant referred to the Applicant's reply dated 1-2-2011. However, the contents of such reply do not support the arguments of the learned counsel for the Applicant as it categorically states that input tax claimed by the Applicant was against both taxable and non-taxable supplies and

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that the Applicant can only use such portion of the input tax credit which is used for taxable supplies.

8. Even otherwise the learned counsel for the Applicant failed to satisfy this Court as to how this court in a Tax Reference can adjudicate upon a factual controversy as to whether or not the input tax claimed by the Applicant for adjustment solely against telecommunication services was not in respect of purchases made which are used for the provisions of exempt supplies as well which is not even a question before this Court.

9. In view of the foregoing, the learned counsel failed to establish any grounds relevant for the questions of law pressed by the Applicant. As such we do not find any reason to interfere with the Impugned Order. The Questions framed in the instant Reference Application are answered in the **affirmative** in favour of the Respondent and against the Applicant. Consequently, the instant Sales Tax Reference Application is **dismissed.**

10. The office is directed to send a copy of this order to the Registrar of the learned Tribunal.

CHIEF JUSTICE **(SAMAN RAFAT IMTIAZ)**
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